

Taiwan Semiconductor Manufacturing Co.

Strong capacity and tech ramp at steeper yield curve easing competition concern

Maintain Rating: BUY | PO: 2,560 TWD | Price: 2,270 TWD

Strong 5/3nm scale limiting risk of major business loss

We highlight takeaways from TSMC's Taiwan technology symposium and reiterate Buy as we believe recent concerns are overdone (see [our update](#) post its US event). It targets to expand its 5nm and 3nm capacity by 25% CAGR from '22-27 while high equipment commonality, cross technology planning and AI productivity gains (e.g. tool idle time and chamber cleaning schedule optimization) allow efficient conversion. Based on our estimate, its 3nm capacity should reach 190k/230k WPM by 4Q26/27 (vs. Samsung SF3 or Intel 18A's 20-25k WPM at low yield prioritized for captive products), limiting the concern Apple's M series chipsets will shift away requiring 15k+ WPM peak capacity.

N2/A16 strengthens technology and margins leadership

TSMC targets to grow N2 family capacity by 70% CAGR from '26-28, with 1st year ramp delivering 45% more capacity vs. 3nm as it rolls out 5 fabs at once while reduces 20% technology transfer time. Although N2 is the 1st node using nanosheet technology, it has reached the targeted defect density levels 2 quarters ahead of 3nm. While it still takes a few years for N2 to reach corporate GMs which is trending higher (vs. ~11 quarters for N3), we expect N2/A16 to enjoy a better margin profile vs. 3nm on better yield curve.

Faster packaging technology upgrade mitigate competition

TSMC expects to grow its CoWoS and SolC capacity by 80% and 90% CAGR respectively from '22-27. Notably, it is reducing the technology upgrade time by 30% for CoWoS and 75% for SolC by supply chain collaboration. Its strong capability in early stage defect detection is supporting 5.5x reticle CoWoS yield already at 98%+ and will have >14x reticle solutions ready in '29. While CoPoS mass ramp is toward '29, the CoWoS upgrade at good yield should keep its position vs. Intel's EMIB-T currently at 80-85% pilot yield seeing risk of losing business if it fails to deliver 95% mass production yield by mid-'27.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,173,268	1,717,886	2,568,284	3,318,924	3,940,335
EPS	45.24	66.24	99.04	127.98	151.94
EPS Change (YoY)	39.9%	46.4%	49.5%	29.2%	18.7%
Consensus EPS (Visible Alpha)			93.18	121.79	149.04
Dividend / Share	18.00	23.00	24.00	24.00	24.00
Free Cash Flow / Share	33.55	38.66	64.44	88.71	99.75
ADR EPS (US\$)	7.04	10.62	15.71	20.30	24.11
ADR Dividend / Share (US\$)	2.80	3.69	3.81	3.81	3.81
Valuation (Dec)					
P/E	50.17x	34.27x	22.92x	17.74x	14.94x
Dividend Yield	0.793%	1.01%	1.06%	1.06%	1.06%
EV / EBITDA*	28.13x	21.28x	14.67x	11.52x	9.97x
Free Cash Flow Yield*	1.48%	1.70%	2.84%	3.91%	4.39%

* For full definitions of *IQmethod*SM measures, see page 5.

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Refer to important disclosures on page 6 to 9. Analyst Certification on page 3. Price Objective Basis/Risk on page 3.

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Stock Data

Price (Common / ADR)	2,270 TWD / 417.72 USD
Price Objective	2,560 TWD / 490.00 USD
Date Established	16-Apr-2026 / 16-Apr-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	946.00 TWD-2,345 TWD
Market Value (mn)	1,867,899 USD
Market Value (mn)	58,866,831 TWD
Shares Outstanding (mn)	25,932.5 / 5,186.5
Average Daily Value (mn)	3,165 USD
Free Float	92.1%
BofA Ticker / Exchange	TSMWF / TAI
BofA Ticker / Exchange	TSM / NYS
Bloomberg / Reuters	2330 TT / 2330.TW
ROE (2026E)	39.8%
Net Dbt to Eqty (Dec-2025A)	-37.3%

iQprofileSM Taiwan Semiconductor Manufacturing Co.

Key Income Statement Data (Dec)

(NT\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	2,894,308	3,809,054	5,239,329	6,683,982	7,901,121
Gross Profit	1,624,354	2,281,294	3,424,904	4,400,207	5,223,138
Sell General & Admin Expense	(96,888)	(99,222)	(123,309)	(154,171)	(192,749)
Operating Profit	1,322,053	1,936,092	2,984,974	3,848,073	4,532,842
Net Interest & Other Income	83,786	105,574	129,555	174,126	243,054
Associates	NA	NA	NA	NA	NA
Pretax Income	1,405,839	2,041,666	3,114,529	4,022,199	4,775,895
Tax (expense) / Benefit	(233,407)	(326,266)	(547,346)	(705,640)	(838,368)
Net Income (Adjusted)	1,173,268	1,717,886	2,568,284	3,318,924	3,940,335
Average Fully Diluted Shares Outstanding	25,932	25,933	25,933	25,933	25,933

Key Cash Flow Statement Data

Net Income	1,173,268	1,717,886	2,568,284	3,318,924	3,940,335
Depreciation & Amortization	662,797	688,096	821,297	998,665	1,067,829
Change in Working Capital	(143,010)	(72,100)	(61,482)	(97,425)	(59,937)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	133,123	(58,907)	125,277	59,463	73,318
Cash Flow from Operations	1,826,177	2,274,976	3,453,377	4,279,627	5,021,544
Capital Expenditure	(956,007)	(1,272,411)	(1,782,344)	(1,979,156)	(2,434,863)
(Acquisition) / Disposal of Investments	(58,000)	(37,014)	(25,889)	(1,618)	(101)
Other Cash Inflow / (Outflow)	149,164	165,031	51,433	3,074	3,595
Cash Flow from Investing	(864,843)	(1,144,393)	(1,756,800)	(1,977,700)	(2,431,369)
Shares Issue / (Repurchase)	(9)	(2)	(1)	0	0
Cost of Dividends Paid	(337,129)	(440,855)	(570,516)	(622,381)	(622,381)
Cash Flow from Financing	(346,301)	(440,345)	(583,919)	(624,652)	(623,019)
Free Cash Flow	870,171	1,002,565	1,671,033	2,300,471	2,586,681
Net Debt	(1,403,733)	(2,035,607)	(3,223,392)	(4,904,783)	(6,872,694)
Change in Net Debt	(556,872)	(647,079)	(1,112,699)	(1,679,546)	(1,967,795)

Key Balance Sheet Data

Property, Plant & Equipment	3,234,980	3,691,841	4,759,885	5,678,662	6,773,615
Other Non-Current Assets	368,606	424,052	429,115	429,454	429,430
Trade Receivables	272,088	281,791	322,010	369,054	394,273
Cash & Equivalents	2,422,020	3,068,595	4,256,339	5,935,458	7,902,730
Other Current Assets	394,245	466,745	505,746	583,121	645,112
Total Assets	6,691,938	7,933,024	10,273,096	12,995,749	16,145,160
Long-Term Debt	958,429	896,062	900,349	901,389	901,607
Other Non-Current Liabilities	145,408	118,147	153,929	177,036	199,541
Short-Term Debt	59,858	136,926	132,598	129,286	128,430
Other Current Liabilities	1,204,667	1,321,094	1,560,225	1,601,800	1,643,800
Total Liabilities	2,368,362	2,472,229	2,747,102	2,809,511	2,873,377
Total Equity	4,323,576	5,460,795	7,525,994	10,186,237	13,271,783
Total Equity & Liabilities	6,691,938	7,933,024	10,273,096	12,995,749	16,145,160

iQmethodSM - Bus Performance*

Return On Capital Employed	23.2%	28.4%	33.5%	33.0%	30.5%
Return On Equity	30.3%	35.4%	39.8%	37.6%	33.7%
Operating Margin	45.7%	50.8%	57.0%	57.6%	57.4%
EBITDA Margin	68.6%	68.9%	72.6%	72.5%	70.9%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.6x	1.3x	1.3x	1.3x	1.3x
Asset Replacement Ratio	1.4x	1.8x	2.2x	2.0x	2.3x
Tax Rate (Reported)	16.6%	16.0%	17.6%	17.5%	17.6%
Net Debt-to-Equity Ratio	-32.5%	-37.3%	-42.8%	-48.2%	-51.8%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 5.

Company Sector

Semiconductors

Company Description

TSMC was founded in 1987 and is listed in Taiwan (2330TT) and the US (TSM/NYS). TSMC is the largest and global leader in integrated circuit (IC) manufacturing. As a build-to-order foundry, it provides a wide range of value-add activities: IC manufacturing, mask-making, IC design services, turnkey solutions, and process development. We attribute its success to its proven, winning business model, unparalleled scale advantage, optimized execution, and technology scope and depth. 5 shares = 1 ADR.

Investment Rationale

The ongoing semi content growth in mobile, rise of artificial intelligence (AI), and proliferation of Internet of Things (IoT) should result in sustainable upside in aggregate computing power globally. TSMC, as the leading contract manufacturer of semiconductor chips, is in a good position to capitalize. We are structurally positive on TSMC and expect it to sustain over 15% growth with rising FCF from 2026 onwards.

Stock Data

Shares / ADR	5.00
Price to Book Value	7.9x

Price objective basis & risk

Taiwan Semiconductor Manufacturing Co. (TSMWF / TSM)

Our PO for TSMC is NT\$2,560 per share (US\$490 per ADR), based on 20x 2027E P/E. TSMC's valuation has traded in the range of 10-26x PE from 2017. 20x is in the mid to high end of the historical range, above the average P/E of 18x. We think a PE above the average is justified given TSMC's enhanced industry position and mid-40% 5-year CAGR in AI should underpin a rerating

Downside risks to our price objective are: (1) greater-than-expected slowdown in global smartphone/consumer electronics demand, (2) Intel's potential insourcing strategy and ambitions in foundry service, and (3) execution risks on advanced nodes. (4) Higher than expected tariffs

Analyst Certification

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Mike Yang
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	XPPZF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Kinik	KIKCF	1560 TT	Haas Liu
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	Novatek	NVKMF	3034 TT	Haas Liu
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	MXMSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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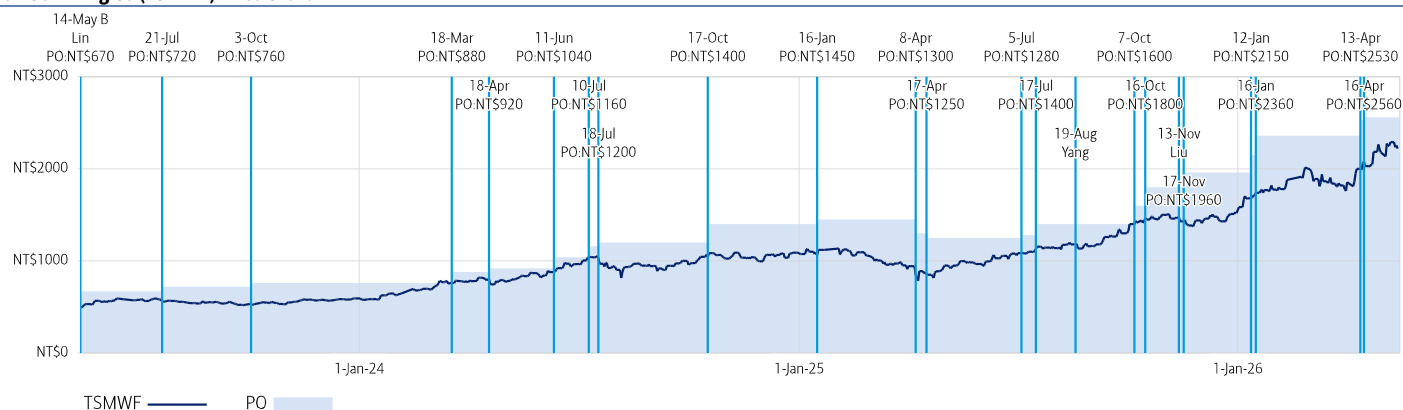
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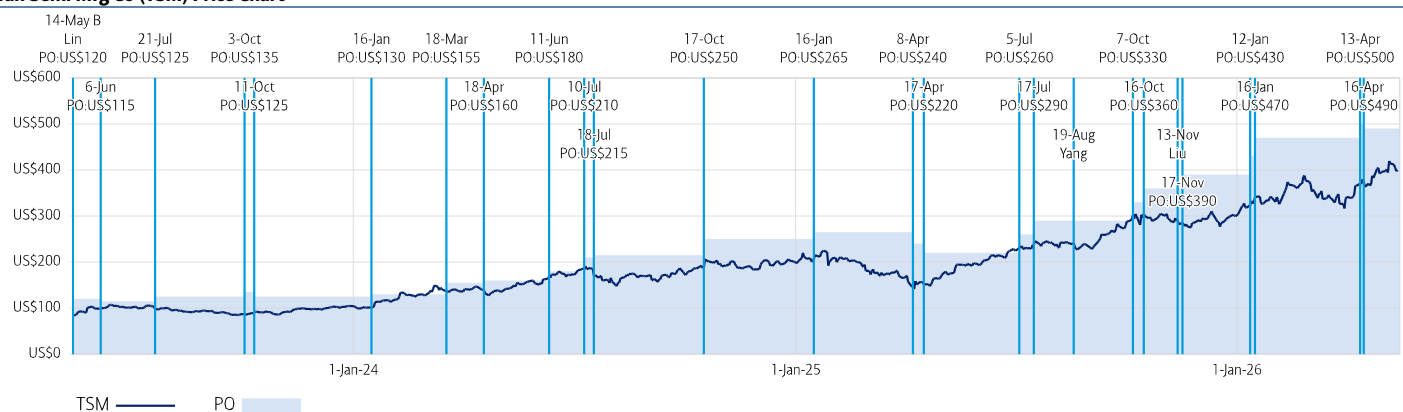
Taiwan Semi Mfg Co (TSMWF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Taiwan Semi Mfg Co (TSM) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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